

Several principles from agency theory can help us design systems to get fund managers to act in the best interests of asset owners. One general principle is that the fund manager has to “look more like the asset owner” and by doing so will “act more like the asset owner.”

Outcome-based contracts enable the fund manager to share the principal’s reward. These types of contracts include *bonuses* paid if a certain outcome is obtained—for example, when outperforming a benchmark. Another type of outcome-based contract is a *relative performance* contract, where the agent is paid for outperforming a peer group.

Behavior-based contracts allow the asset owner to more closely monitor what the fund manager is doing, constraining his behavior and curbing his opportunities to exploit and deceive his employer. Examples of such restrictions include not allowing a manager to trade derivatives contracts or specifying the amount of risk or leverage a manager can take on. At the same time, effort can be rewarded.

Inference-based contracts are based on the principle that the fund manager should receive disproportionately high rewards for outcomes that are more likely if she is diligent and disproportionately low rewards for outcomes that are likely only if she shirked or was negligent. This principle means that, in general, nonlinear contracts are optimal.

Reputation is important. Agents know that their reputation is essential for winning new clients and maintaining professional standing. So the desire to preserve a spotless reputation helps keep agents in line. Even a single serious allegation can do real damage.

In the asset management industry, certain types of contracts are prohibited by law for certain types of investment managers. For example, under the 1970 amendment to the Investment Advisers Act of 1940, mutual fund performance fees can only be symmetric (see chapter 16). This rules out nonlinear inference-based contracts for mutual funds. On the other hand, some contracts that permeate industry generally are not optimal, as I explain later. One of these turns out to be benchmarking using basic asset class indexes.

In asset management, *implicit contracts* turn out to be as important as *explicit* ones. Asset managers receive compensation on assets under management, so the ability to attract flows from future clients is a powerful long-term incentive and in many cases is even more powerful than the explicit incentives in the manager’s contract with existing clients.⁶ Explicit contracts are under the control of the principal, whereas implicit contracts are subject to market forces. Incentive schemes arising from implicit contracts are often of a winner-takes-all variety, which leads to excessive risk taking.

⁶ Fund flows in mutual funds, hedge funds, and private equity are examined by Chevalier and Ellison (1998), Fung et al. (2008), and Kaplan and Strömberg (2009), respectively. For all of these cases, assets under management increase when past returns have been high.